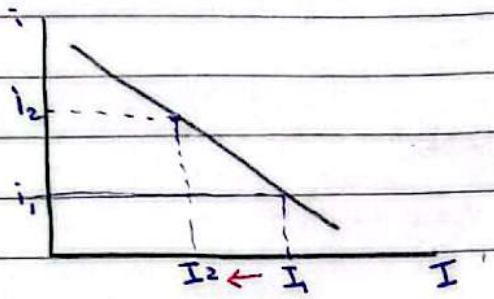
→ economic effects of public loans
«subscription Phase»

① effect of domestic loan

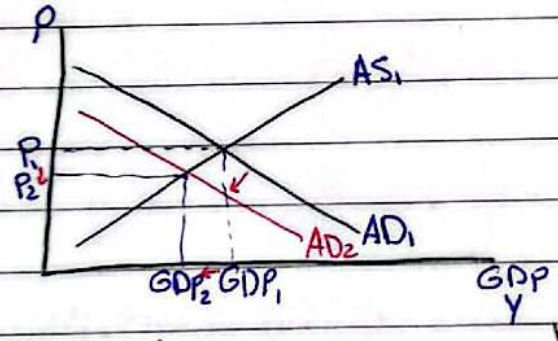
(A) effect on investment

Gov → ↑ intrest rate on Gov bonds
i in market ↑ → investment ↓



(B) effect on GDP (NI)

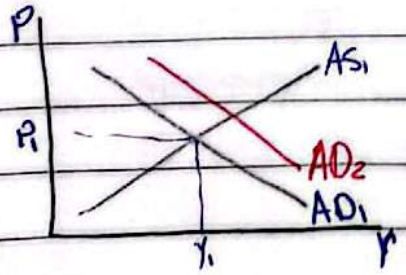
Gov loan → i ↑ → I ↓ → AD ↓
«C+I+G»



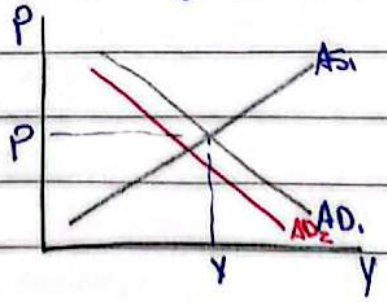
the final effect if G↑ → عشان زاد فلوس

Δ AD depends on { ↕I, ↕G }

Case one: if ↑G > ↓I
AD↑



Case 2: if ↑G < ↓I
AD↓



Case 3: if ↑G = ↓I
No Change on AD

Note: bonds
. Registed لحد معين بس
. bearer لاي حد هو معاه
. mixed مكتوب الاسم
بس عادة اي حد ياخد الفايده

Note: bonds
① subscription phase
② using proceeds phase
③ Repayment phase